



Crocs, Inc.

NASDAQ : \$6.23B mkt cap · 50M sh · \$130M cash, \$1.231B net debt · ~\$0.13B cash vs ~\$1.34B total debt → ~\$1.2B net debt (deleveraging the HEYDUDE deal); ~50.2M shares; Revenue \$4.04B FY25 (~flat); GAAP op margin 3.7% but adjusted ~22% (the \$737M non-cash HEYDUDE impairment); Mature-Company DCF FCF ~\$0.7-0.9B; ~\$125, near the 52-week high (\$73-\$129), +45% YTD; ~9x EV/FCF on a heavy buyback (~\$2.97B/56M shares done, \$747M left)

\$124.17

THE CENTRAL QUESTION

Does the Crocs core brand (~83% of revenue) sustain mid-single-digit international-led growth — or does the N.A. fad fade while HEYDUDE bleeds?

Crocs trades at ~\$6.26B (~\$124.71, +45% YTD) — ~9x EV/FCF on \$4.04B revenue that is ~flat because HEYDUDE (-12%) offsets a still-growing core (+1%, international +7%). The TTM GAAP P/E is distorted by a \$737M non-cash HEYDUDE impairment; adjusted operating margin is ~22%. The bull is the core compounding on international while the written-down HEYDUDE de-risks the downside; the bear is the fad fading plus more HEYDUDE value destruction. On normalized FCF the modal case is ~+61%.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$195.55  
expected fair value today  
+57.5% vs spot \$124.17

FORWARD COMPOUNDED VALUE

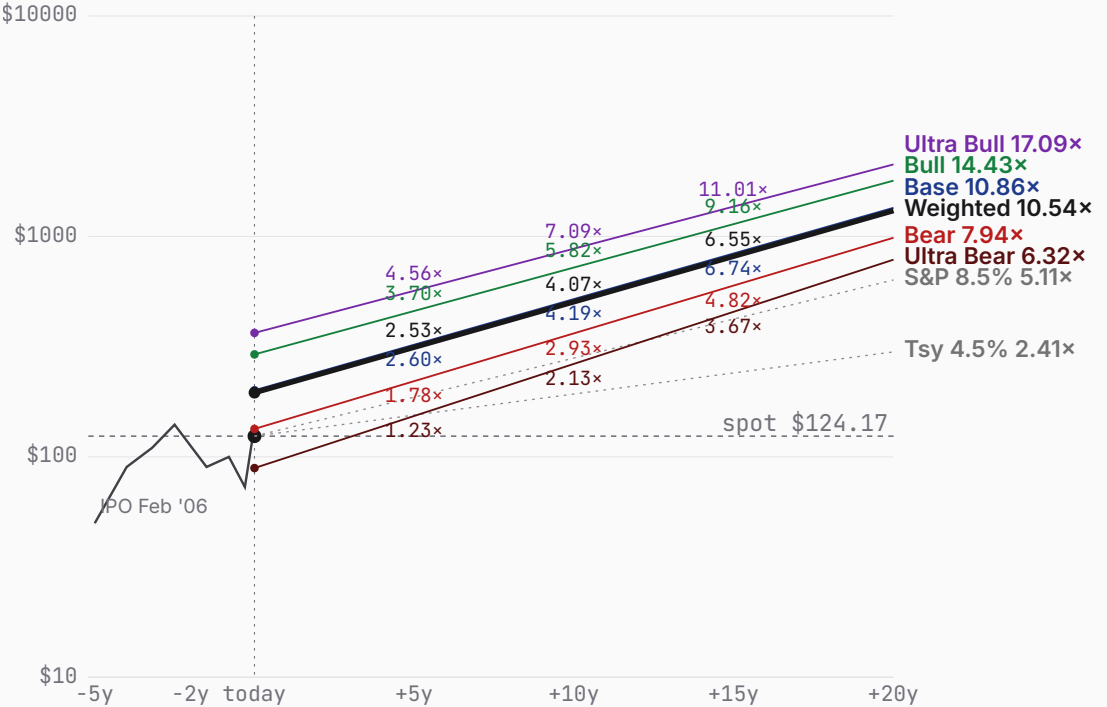
| +5y        | +10y       | +15y       | +20y        |
|------------|------------|------------|-------------|
| \$314.19   | \$505.18   | \$812.87   | \$1,308.97  |
| 2.53x spot | 4.07x spot | 6.55x spot | 10.54x spot |

WEIGHTING RATIONALE

- Ultra Bear 14% Fad fades and HEYDUDE keeps bleeding; ~\$88.96 (-29%).
- Bear 27% Flat top line, HEYDUDE a lasting drag; ~\$133.91 (+7%).
- Base 34% Crocs core compounds, HEYDUDE stabilizes; ~\$200.45 (+61%).
- Bull 17% International runway; the brand re-rates; ~\$291.67 (+134%).
- Ultra Bull 8% Global brand machine, full re-rate; ~\$365.00 (+193%).

Bull (17%) + Ultra Bull (8%) together contribute \$78.78 — 40% of the \$195.55 expected value despite 25% combined probability. Today's spot (\$124.17) sits 37% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                   | \$88.96        | BEAR                                         | \$133.91      | BASE                                         | \$200.45       | BULL                                        | \$291.67        | ULTRA BULL                                 | \$365.00        |
|----------------------------------------------|----------------|----------------------------------------------|---------------|----------------------------------------------|----------------|---------------------------------------------|-----------------|--------------------------------------------|-----------------|
|                                              | -28.4% vs spot |                                              | +7.8% vs spot |                                              | +61.4% vs spot |                                             | +134.9% vs spot |                                            | +194.0% vs spot |
| CAGR -1.4% WACC 11.5%<br>CAGR -1.4% Prob 14% |                | CAGR +0.8% WACC 10.5%<br>CAGR +0.8% Prob 27% |               | CAGR +2.8% WACC 10.0%<br>CAGR +2.8% Prob 34% |                | CAGR +4.4% WACC 9.5%<br>CAGR +4.4% Prob 17% |                 | CAGR +5.8% WACC 9.2%<br>CAGR +5.8% Prob 8% |                 |
| Fad fades; HEYDUDE keeps bleeding.           |                | Flat top line; HEYDUDE a lasting drag.       |               | Core compounds; HEYDUDE stabilizes.          |                | International runway; brand re-rates.       |                 | Global brand machine; full re-rate.        |                 |

PROBABILITY WEIGHTS

Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected \$195.55 (+57.5% vs spot)

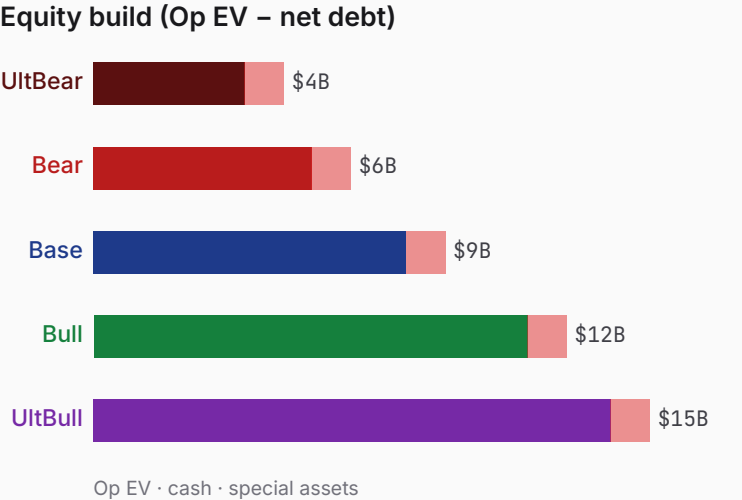
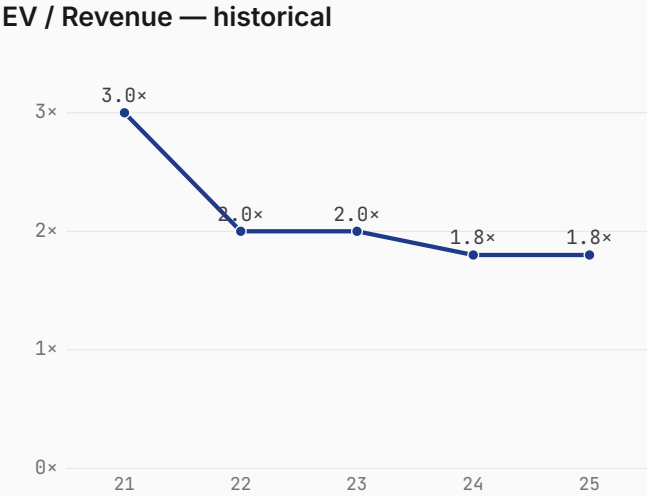
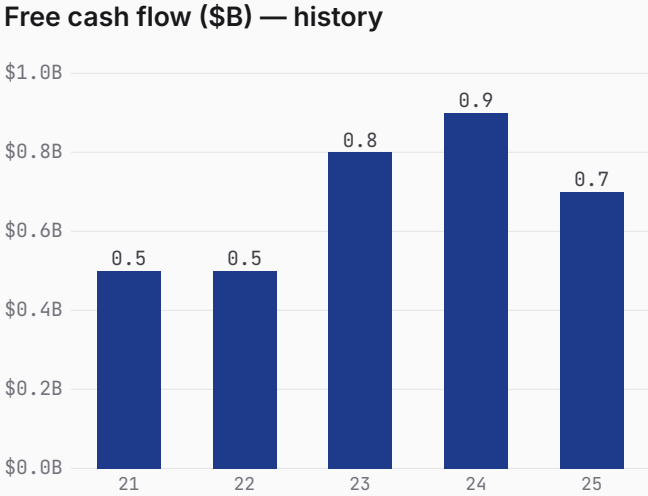
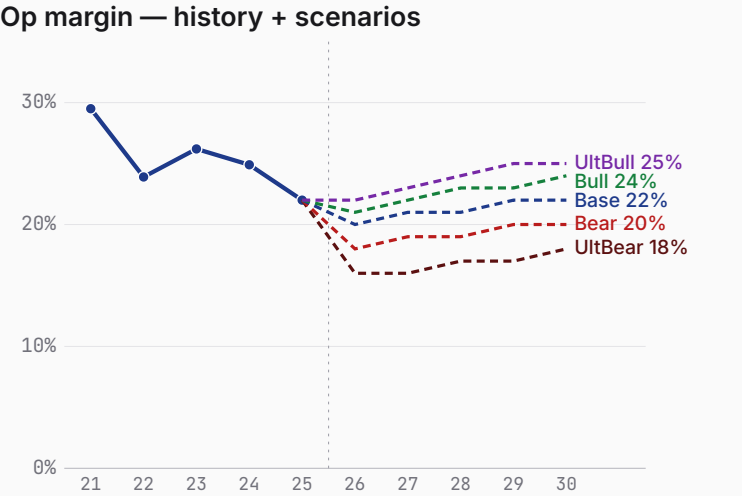
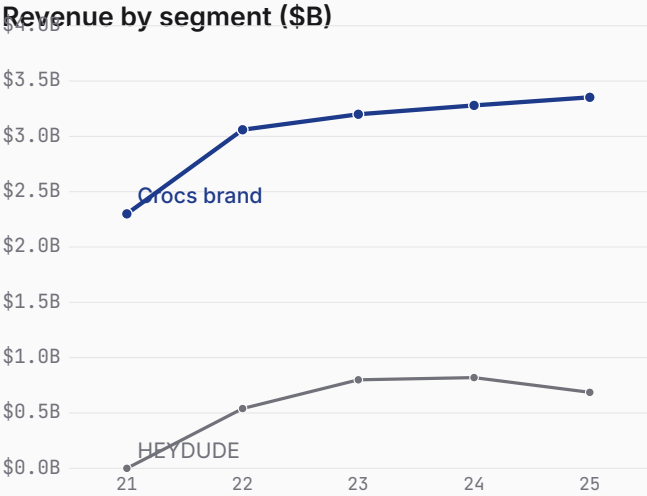
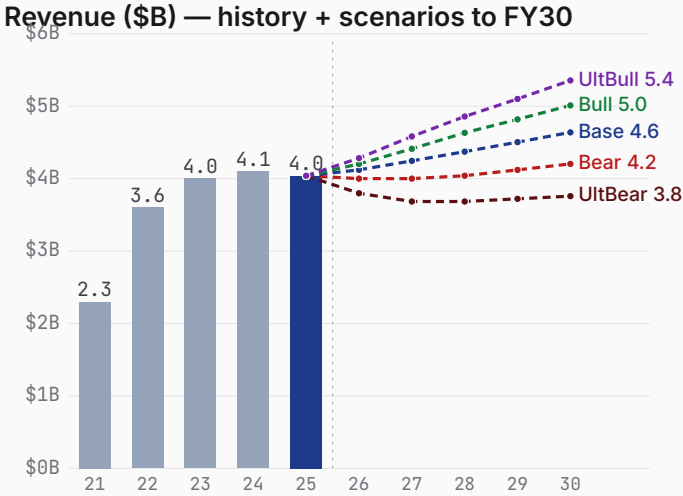
|            |                |      |               |      |                |      |                 |            |                 |
|------------|----------------|------|---------------|------|----------------|------|-----------------|------------|-----------------|
| ULTRA BEAR | \$88.96        | BEAR | \$133.91      | BASE | \$200.45       | BULL | \$291.67        | ULTRA BULL | \$365.00        |
|            | -28.4% vs spot |      | +7.8% vs spot |      | +61.4% vs spot |      | +134.9% vs spot |            | +194.0% vs spot |

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
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| Probability 14%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Probability 27%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Probability 34%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Probability 17%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Probability 8%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <p>Fad fades; HEYDUDE keeps bleeding.</p> <p>WHY 14%</p> <p>The genuine bear: Crocs is a single-silhouette fad with N.A. already -6%, HEYDUDE is guided down again, and tariffs are live. 14% on the cash engine actually rolling over rather than just decelerating.</p> <p>WHAT HAPPENS</p> <p>The Crocs core rolls over in N.A. as the clog cycle peaks and international can't offset it, while HEYDUDE keeps shrinking past the markdown already taken; consolidated revenue declines mid-single-digit before flattening. Tariffs/duties and mix compress margin and FCF margin slides toward ~13-15% as the brand loses pricing power.</p> <p>A fashion brand whose lead franchise is fading earns a low single-digit-growth, ~9x FCF terminal → DCF ~\$88.96 (-29%); ~\$1.2B net debt deepens the equity hit even with the buyback shrinking the share count.</p> | <p>Flat top line; HEYDUDE a lasting drag.</p> <p>WHY 27%</p> <p>The plausible 'decelerates but doesn't break' path: Crocs muddles low-single-digit, HEYDUDE stays a drag, margins are tariff-capped. 27% as the realistic muddle-through.</p> <p>WHAT HAPPENS</p> <p>Crocs grows low-single-digit on international while N.A. stays soft, and HEYDUDE's decline is a persistent offset, so consolidated revenue is roughly flat for years. Margin holds in the high-teens/low-20s as tariffs and mix cap operating leverage; the buyback does much of the per-share work.</p> <p>DCF ~\$133.91 (+7%) — even a flat, HEYDUDE-dragged Crocs at ~10x terminal FCF is modestly above today's price; ~9x entry plus net-cash-funded repurchases provide a floor without a re-rate.</p> | <p>Core compounds; HEYDUDE stabilizes.</p> <p>WHY 34%</p> <p>Requires Crocs international + DTC to keep the brand growing while a de-risked HEYDUDE merely holds — consistent with +7% international and the raised FY26 guide. 34% as the central case.</p> <p>WHAT HAPPENS</p> <p>The modal path: the Crocs brand sustains mid-single-digit growth led by international and DTC, HEYDUDE stabilizes near its written-down level rather than recovering, and consolidated revenue compounds low-single-digit (~3%). Adjusted operating margin holds ~20-22% as scale offsets tariffs, and FCF margin runs ~16-18%.</p> <p>DCF ~\$200.45 (+61%) — a still-growing core brand throwing off ~\$0.7-0.9B FCF, valued at ~12x terminal FCF after the ~\$1.2B net-debt bridge, prices well above ~9x today; the buyback compounds the per-share math. The flat consolidated optics, not the cash, are what the market is discounting.</p> | <p>International runway; brand re-rates.</p> <p>WHY 17%</p> <p>Crocs international +7% with white space, ~83%-of-revenue cash engine, and a buyback ~\$0.75B remaining make a re-rate credible if N.A. fad-fear proves wrong. 17% on the brand durability case landing.</p> <p>WHAT HAPPENS</p> <p>The Crocs brand proves it is a durable global footwear platform, not a N.A. fad: international compounds mid-to-high-single-digit, DTC and Jibbitz personalization lift margin, and HEYDUDE quietly returns to flat-to-positive off its low base. Revenue compounds ~4-5% at a ~23-24% operating margin and FCF margin near 20%.</p> <p>DCF ~\$291.67 (+134%) — if the market re-rates Crocs toward a branded-compounder multiple (~14x terminal FCF) and the aggressive buyback keeps shrinking the float, the de-rated ~9x entry re-rates hard with the fundamentals.</p> | <p>Global brand machine; full re-rate.</p> <p>WHY 8%</p> <p>Everything works — durable international growth AND margin expansion AND a HEYDUDE recovery AND a multiple re-rate, the brand-platform outcome. 8%, the upside tail.</p> <p>WHAT HAPPENS</p> <p>The full second act: Crocs becomes an enduring global brand machine — international and DTC compound high-single-digit, Jibbitz/personalization and collaborations entrench pricing power, HEYDUDE turns into a contributor, and margin pushes toward 25%. Revenue compounds ~6% at a ~25% operating margin, FCF margin ~21%.</p> <p>DCF ~\$365.00 (+193%) — the asymmetric tail where a fad re-rates into a compounder at ~15x terminal FCF while a buyback retires a large share of the float; ~8% probability, the long-duration upside the ~9x entry is buying.</p> |

Crocs, Inc. business snapshot

Bear \$133.91 Base \$200.45 Bull \$291.67

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1-FY2026 results + raised FY26 guidance



Sources: SEC XBRL company facts (CIK 1334036), Crocs Q1-FY2026 release (revenue \$921.5M/-1.7%, Crocs brand \$767M/+0.8%, international +7%, N.A. -6%, HEYDUDE \$154M/-12.3%, gross margin 56.8%, adjusted op margin ~22%), \$737M HEYDUDE impairment (Q2-2025), FY26 guide -1 to +1%. Op margin history is GAAP; the model uses normalized margins, a Gordon terminal, and an equity bridge less ~\$1.2B net debt. EV/sales & EV/FCF vs peers.

Crocs, Inc. 7 Powers · the moat, scored

Bear \$133.91 Base \$200.45 Bull \$291.67

Arena. Branded footwear — Crocs (a dominant single-brand clog/sandal franchise with personalization via Jibbitz, plus the declining HEYDUDE) vs Deckers (HOKA/UGG), Nike, Skechers, and On; auditing a brand Power against fashion/fad concentration and the HEYDUDE drag.

POWER AUDIT  
dominant-power durability: medium

POWER AUDIT · 7 POWERS

|                              |                                                                                                                                                                                                                              |
|------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Scale Economies              | Sourcing and marketing leverage at ~\$4B revenue and high gross margin (56.8%), but small vs Nike/Deckers; not a cost-based moat.                                                                                            |
| Network Economies            | None — footwear isn't a network; Jibbitz personalization is engagement, not a network effect.                                                                                                                                |
| Counter-Positioning          | Crocs was the anti-fashion 'ugly' disruptor incumbents wouldn't copy; now mainstream, so the edge is brand, not a positioning rivals can't match.                                                                            |
| Switching Costs              | Zero — footwear purchase is promiscuous; every pair is a fresh decision.                                                                                                                                                     |
| Branding · thesis leans here | The dominant Power: a globally recognized brand with real pricing power, ~57% gross margin, Jibbitz personalization and collaborations — the entire cash engine, but concentrated in one silhouette and exposed to fad risk. |
| Cornered Resource            | The Crocs trademark/Croslite material and Jibbitz IP are valuable, but the form is widely imitated; not truly cornered.                                                                                                      |
| Process Power                | Efficient sourcing and DTC/digital execution; competent operations, not a structural process moat.                                                                                                                           |

PEER SET

|                   |                                                                                                                                                   |
|-------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|
| Deckers (DECK)    | 15% gr · 21% mgn · ~18x EV/FCF<br>HOKA/UGG owner; the branded-footwear compounder benchmark — higher growth and a richer multiple, the bull comp. |
| Nike (NKE)        | 0% gr · 11% mgn · ~25x EV/FCF<br>The scale incumbent; brand/distribution power Crocs can't match, but slower-growing and turnaround-bound.        |
| Skechers (SKX)    | 7% gr · 10% mgn · ~private (~LB0)<br>Value/comfort footwear at scale; the closest size/price comp, taken private in 2025 at a modest multiple.    |
| On Holding (ONON) | 30% gr · 10% mgn · ~40x EV/FCF<br>Premium performance-running insurgent; the high-growth, high-multiple end of the field, the anti-fad comp.      |

THREAT VECTORS · FALSIFIERS

|                                                                                                                                                                                                                                     |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Branding · Fashion/fad cycle in N.A. (changing taste, the clog peaking)<br>falsifier: Crocs-brand N.A. comps deepen below -6% and international decelerates, signalling the silhouette is a domestic cycle, not a durable platform. |
| Branding · HEYDUDE structural decline<br>falsifier: A further HEYDUDE write-down or a guide-down below -7%, dragging consolidated growth and confirming the deal destroyed value.                                                   |
| Scale Economies · Tariffs/duties + product-cost and mix inflation<br>falsifier: Adjusted operating margin falls below ~18%, eroding the FCF margin the whole valuation rests on.                                                    |

COMPETITIVE READ

Crocs's brand Power is genuine and dominant — a globally recognized footwear brand with ~57% gross margin, real pricing power, and Jibbitz personalization, and it is essentially the entire cash engine (~83% of revenue, ~\$0.7-0.9B FCF). The Audit: branding is durable but rated medium, not high, because it is concentrated in a single silhouette exposed to fad risk and bolted to a structurally declining HEYDUDE. The live threats are a N.A. taste shift (already -6%) and further HEYDUDE value destruction — but HEYDUDE is already impaired (\$737M taken) and international is +7%, which is why the downside is de-risked and the brand re-rate is the upside. That squares with the +56.8% finding: at ~9x EV/FCF the market prices a fading business, while the normalized cash flow of a still-growing core brand underwrites materially more — the flat consolidated optics, not the cash, are the discount.

Crocs, Inc. show your work

Bear \$133.91 Base \$200.45 Bull \$291.67 · Weighted \$195.55 (+57.5%)

| ULTRA BEAR                                |      |        |       |        | BEAR                                      |      |        |       |        | BASE                                      |      |        |       |        | BULL                                      |      |        |       |        | ULTRA BULL                                |      |        |       |        |
|-------------------------------------------|------|--------|-------|--------|-------------------------------------------|------|--------|-------|--------|-------------------------------------------|------|--------|-------|--------|-------------------------------------------|------|--------|-------|--------|-------------------------------------------|------|--------|-------|--------|
| \$88.96                                   |      |        |       |        | \$133.91                                  |      |        |       |        | \$200.45                                  |      |        |       |        | \$291.67                                  |      |        |       |        | \$365.00                                  |      |        |       |        |
| ASSUMPTIONS                               |      |        |       |        | ASSUMPTIONS                               |      |        |       |        | ASSUMPTIONS                               |      |        |       |        | ASSUMPTIONS                               |      |        |       |        | ASSUMPTIONS                               |      |        |       |        |
| 5y revenue CAGR (%)                       |      |        |       |        | -1.4                                      |      |        |       |        | +0.8                                      |      |        |       |        | +2.8                                      |      |        |       |        | +4.4                                      |      |        |       |        |
| Year-5 op margin (%)                      |      |        |       |        | 18.0                                      |      |        |       |        | 20.0                                      |      |        |       |        | 22.0                                      |      |        |       |        | 24.0                                      |      |        |       |        |
| WACC (%)                                  |      |        |       |        | 11.5                                      |      |        |       |        | 10.5                                      |      |        |       |        | 10.0                                      |      |        |       |        | 9.5                                       |      |        |       |        |
| Terminal growth (%)                       |      |        |       |        | 2.0                                       |      |        |       |        | 2.0                                       |      |        |       |        | 2.5                                       |      |        |       |        | 3.0                                       |      |        |       |        |
| 5y revenue CAGR (%)                       |      |        |       |        | -1.4                                      |      |        |       |        | +0.8                                      |      |        |       |        | +2.8                                      |      |        |       |        | +4.4                                      |      |        |       |        |
| Starting revenue (\$B)                    |      |        |       |        | 4.04                                      |      |        |       |        | 4.04                                      |      |        |       |        | 4.04                                      |      |        |       |        | 4.04                                      |      |        |       |        |
| Scenario probability (%)                  |      |        |       |        | 14                                        |      |        |       |        | 27                                        |      |        |       |        | 34                                        |      |        |       |        | 17                                        |      |        |       |        |
| 5-YEAR DCF · \$B                          |      |        |       |        | 5-YEAR DCF · \$B                          |      |        |       |        | 5-YEAR DCF · \$B                          |      |        |       |        | 5-YEAR DCF · \$B                          |      |        |       |        | 5-YEAR DCF · \$B                          |      |        |       |        |
| FY                                        | Rev  | Margin | FCF   | PV FCF | FY                                        | Rev  | Margin | FCF   | PV FCF | FY                                        | Rev  | Margin | FCF   | PV FCF | FY                                        | Rev  | Margin | FCF   | PV FCF | FY                                        | Rev  | Margin | FCF   | PV FCF |
| FY26                                      | 3.80 | +16%   | +0.49 | +0.44  | FY26                                      | 4.00 | +18%   | +0.60 | +0.54  | FY26                                      | 4.12 | +20%   | +0.66 | +0.60  | FY26                                      | 4.20 | +21%   | +0.71 | +0.65  | FY26                                      | 4.28 | +22%   | +0.77 | +0.71  |
| FY27                                      | 3.68 | +16%   | +0.48 | +0.39  | FY27                                      | 4.00 | +19%   | +0.60 | +0.49  | FY27                                      | 4.25 | +21%   | +0.72 | +0.60  | FY27                                      | 4.41 | +22%   | +0.79 | +0.66  | FY27                                      | 4.58 | +23%   | +0.87 | +0.73  |
| FY28                                      | 3.68 | +17%   | +0.52 | +0.37  | FY28                                      | 4.04 | +19%   | +0.65 | +0.48  | FY28                                      | 4.37 | +21%   | +0.74 | +0.56  | FY28                                      | 4.63 | +23%   | +0.88 | +0.67  | FY28                                      | 4.86 | +24%   | +0.97 | +0.75  |
| FY29                                      | 3.72 | +17%   | +0.52 | +0.34  | FY29                                      | 4.12 | +20%   | +0.66 | +0.44  | FY29                                      | 4.50 | +22%   | +0.81 | +0.55  | FY29                                      | 4.82 | +23%   | +0.92 | +0.64  | FY29                                      | 5.10 | +25%   | +1.07 | +0.75  |
| FY30                                      | 3.76 | +18%   | +0.56 | +0.33  | FY30                                      | 4.20 | +20%   | +0.67 | +0.41  | FY30                                      | 4.64 | +22%   | +0.83 | +0.52  | FY30                                      | 5.01 | +24%   | +1.00 | +0.64  | FY30                                      | 5.36 | +25%   | +1.13 | +0.72  |
| Σ PV explicit FCF                         |      |        |       |        | +1.86                                     |      |        |       |        | +2.36                                     |      |        |       |        | +3.26                                     |      |        |       |        | +3.66                                     |      |        |       |        |
| + PV terminal (g 2.0%)                    |      |        |       |        | 3.51                                      |      |        |       |        | 4.90                                      |      |        |       |        | 10.09                                     |      |        |       |        | 12.04                                     |      |        |       |        |
| EQUITY BUILD · \$B & PER SHARE            |      |        |       |        | EQUITY BUILD · \$B & PER SHARE            |      |        |       |        | EQUITY BUILD · \$B & PER SHARE            |      |        |       |        | EQUITY BUILD · \$B & PER SHARE            |      |        |       |        | EQUITY BUILD · \$B & PER SHARE            |      |        |       |        |
| Operating EV                              |      |        |       |        | \$5.37B                                   |      |        |       |        | \$7.26B                                   |      |        |       |        | \$13.35B                                  |      |        |       |        | \$15.70B                                  |      |        |       |        |
| + Cash & investments                      |      |        |       |        | \$0.13B                                   |      |        |       |        | \$0.13B                                   |      |        |       |        | \$0.13B                                   |      |        |       |        | \$0.13B                                   |      |        |       |        |
| – Net debt                                |      |        |       |        | \$1.23B                                   |      |        |       |        | \$1.23B                                   |      |        |       |        | \$1.23B                                   |      |        |       |        | \$1.23B                                   |      |        |       |        |
| = Equity value                            |      |        |       |        | \$4.27B                                   |      |        |       |        | \$6.16B                                   |      |        |       |        | \$12.25B                                  |      |        |       |        | \$14.60B                                  |      |        |       |        |
| FY30 shares (M)                           |      |        |       |        | 48                                        |      |        |       |        | 46                                        |      |        |       |        | 42                                        |      |        |       |        | 40                                        |      |        |       |        |
| = Expected per share                      |      |        |       |        | \$88.96                                   |      |        |       |        | \$133.91                                  |      |        |       |        | \$291.67                                  |      |        |       |        | \$365.00                                  |      |        |       |        |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |      |        |       |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |      |        |       |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |      |        |       |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |      |        |       |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |      |        |       |        |
| +5y                                       |      |        |       |        | +10y                                      |      |        |       |        | +15y                                      |      |        |       |        | +20y                                      |      |        |       |        | +5y                                       |      |        |       |        |
| \$153.31                                  |      |        |       |        | \$264.21                                  |      |        |       |        | \$455.32                                  |      |        |       |        | \$784.68                                  |      |        |       |        | \$566.77                                  |      |        |       |        |
| 1.23×                                     |      |        |       |        | 2.13×                                     |      |        |       |        | 3.67×                                     |      |        |       |        | 6.32×                                     |      |        |       |        | 4.56×                                     |      |        |       |        |

Crocs, Inc. People · Opportunity · Context · Deal

Bear \$133.91 Base \$200.45 Bull \$291.67

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Andrew Rees

9 yrs in seat

3.1%

insider ownership

MEDIUM

key-person risk

Capital allocation (realized)

No dividend; capital returned almost entirely via buyback — ~\$2.97B / 56.4M shares repurchased program-to-date (~82% of authorization), incl. \$577M / 6.5M sh in FY25 and >\$550M in FY24, \$747M remaining at YE25. The 2022 HEYDUDE acquisition (~\$2.5B, debt-funded) is the one large M&A move; the company has since deleveraged (~\$320M paid down in FY24) but still carries ~\$1.3B borrowings (Q1-2026) vs ~\$0.13B cash. HEYDUDE was written down \$737M in Q2-2025 (\$430M trademark + \$307M goodwill) as the brand declined ~13% — a non-cash impairment of an acquisition Rees led.

Incentive alignment

FY25 CEO total comp \$10.96M (down ~13% YoY); ~90% at-risk — base ~\$1.1M, the remainder equity + non-equity incentive, no stock options. LTIP PSUs earned on Adjusted-EBIT operating-margin and three one-year adjusted-revenue targets (2025-2027), with a 3-yr relative-TSR modifier on the whole award (the 2025 EBIT-margin PSU paid at 97.1%). Hedging/pledging prohibited; clawback policy in place.

GOVERNANCE FLAGS

- single class of common stock, one vote per share (no dual-class)
- independent Chair (Thomas Smach, director since 2005) separate from the CEO; board of 9, majority independent
- classified / staggered board (three classes, three-year terms) — a takeover-defense flag
- directors + officers as a group (14) own 3.1% (Rees ~2.5%); no activist campaign on record

PEOPLE READ

Clean single-class governance, an independent chair, ~90%-at-risk PSU / relative-TSR pay and aggressive buybacks, modestly offset by the debt-funded HEYDUDE acquisition that required a \$737M impairment and a classified board.

THE FOUR LEGS

People

observable composite · 1–5



Opportunity

The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market purchase = the deal: entry price vs. the scenario distribution (the +56.8% finding) + position sizing.

Crocs, Inc. supporting analysis · disclaimers · glossary

Bear \$133.91 Base \$200.45 Bull \$291.67

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **Consolidated revenue is flat — why is this cheap?**  
Flat is HEYDUDE (-12%) masking a still-growing core (+1%, international +7%); at ~9x EV/FCF the market pays a fading multiple for a compounder.
- 2 **The TTM GAAP P/E looks distorted.**  
FY25 GAAP op margin is 3.7% only on a \$737M non-cash impairment; adjusted margin is ~22%, FCF ~\$0.7-0.9B — the model is normalized.
- 3 **HEYDUDE is the bear — but it's already written down.**  
The \$430M trademark + \$307M goodwill write-down is taken; residual downside is a small guide-down, de-risking more than it threatens.
- 4 **Crocs is a single-silhouette fad concentrated in N.A.**  
The real risk: ~83% of revenue is one brand, N.A. already -6%; the bull rests on international (+7%) proving a durable global platform.
- 5 **Net debt, not net cash — does it matter?**  
~\$1.2B net debt (the HEYDUDE deal) drags the equity build, so the buyback runs alongside paydown; deep FCF services both but caps the float shrink.

FALSIFICATION TRIGGERS

Bull validation

Crocs international growth holds mid-single-digit+ · adjusted operating margin stays >22% · HEYDUDE decline flattens toward 0% · buyback keeps retiring float at ~9x

Bear validation

Crocs N.A. comps deepen below -6% and international decelerates · another HEYDUDE write-down or guide-down below -7% · adjusted operating margin below ~18% · FCF margin slips to low teens

Reframe needed

if Crocs-brand growth turns negative (not just HEYDUDE), the fad thesis is confirmed — re-rate the terminal toward a declining single-brand multiple, and ~9x stops being cheap

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**Crocs brand** — The core clog/sandal franchise — ~83% of revenue and essentially all the FCF; ~+1% overall but +7% international, the memo's swing factor.

**HEYDUDE** — The casual-footwear brand acquired in 2022, now in structural decline (guided -5 to -7% FY26) and impaired by \$737M; a small, de-risked residual.

**HEYDUDE impairment** — A \$737M non-cash write-down (Q2-2025: \$430M trademark + \$307M goodwill) crushing FY25 GAAP op margin to 3.7% — why the model uses normalized (~22%) margins.

**Net debt** — Total debt (~\$1.34B) less cash (~\$0.13B) ≈ \$1.2B from the HEYDUDE deal; subtracted from operating EV in the equity build, paid down with the buyback.

**FCF margin** — Free cash flow / revenue (~16-21% across scenarios, ~22% adjusted op margin underneath); whether the brand converts sales to deep free cash flow.